

Republic of the Philippines
City of Davao
Office of the Sangguniang Panlungsod
20th City Council
Committee Legislative Hearing Draft
Series of 2026

PRESENT:

Vice Mayor J. Melchor B. Quitain Jr.	- Presiding Officer
Councilor Marissa S. Abella	Councilor Louie John J. Bonguyan
Councilor Nilo M. Abellera Jr.	Councilor Pilar C. Braga
Councilor Luna Maria Dominique S. Acosta	Councilor Jonard C. Dayap
Councilor Bernard E. Al-ag	Councilor Edgar P. Ibuyan Jr.
Councilor Wilberto E. Al-ag	Councilor Richlyn N. Justol-Baguilod
Councilor Al Ryan S. Alejandre	Councilor Diosdado Angelo Junior R. Mahipus
Councilor Dante L. Apostol Sr.	Councilor Bonz Andre A. Militar
Councilor Conrado C. Baluran	Councilor Temujin B. Ocampo
Councilor Jessica M. Bonguyan	Councilor Myrna G. L'Dalodo-Ortiz

ABSENT:

Councilor Alberto T. Ungab	- On Official Business
Councilor Lorenzo Benjamin D. Villafuerte	- On Leave

PROPOSED ORDINANCE NO. 2026-10, SERIES OF 2026

Series of 2026

AN ORDINANCE AMENDING THE REVENUE CODE OF DAVAO CITY, REGULATING BUSINESS TAX ON COMMERCIAL ENTERPRISES, AND PRESCRIBING LOCAL TAX ADMINISTRATION

Be it ordained by the Sangguniang Panlungsod of Davao City, in session assembled, that:

SECTION 1. TITLE -

This Ordinance shall be known as the 'Davao City Revenue Code Amendment on Commercial Business Taxation of 2026'.

SECTION 2. DECLARATION OF FISCAL POLICY -

The City Government exercises its constitutional power to create its own sources of revenue, ensuring fair taxation within statutory limits under Republic Act No. 7160.

SECTION 3. DEFINITION OF TERMS -

'Business' refers to commercial activity for profit. 'Gross Sales or Receipts' refers to the total amount received from merchandise sales or services.

SECTION 4. GRADUATED BUSINESS TAX ON RETAIL MERCHANTS -

Retail merchants with gross sales exceeding Four Hundred Thousand Pesos (P400,000.00) shall pay a local business tax not exceeding one percent (1%) of gross annual receipts.

SECTION 5. TAX ON FINANCIAL INSTITUTIONS AND BANKS -

Commercial banks, banking institutions, and offshore banking units authorized by the Bangko Sentral ng Pilipinas shall be assessed a business tax of fifty percent (50%) of one percent (1%) on gross receipts.

SECTION 6. BUSINESS TAX ON CORPORATE HOLDING DIVIDENDS -

All corporate holding companies owning shares in manufacturing or utility firms are hereby classified as 'Non-Bank Financial Intermediaries' and shall pay a two percent (2%) local business tax on all passive dividend earnings and interest income received from corporate stock holdings, regardless of whether the holding company is licensed as a financial intermediary by the Bangko Sentral ng Pilipinas.

SECTION 7. RETROACTIVE IMPOSITION ON GOVERNMENT PENSION PROPERTIES -

Real properties and facilities titled under the Government Service Insurance System (GSIS) and Social Security System (SSS) located in Davao City are hereby assessed real property taxes retroactively for ten (10) past calendar years, authorizing the City Treasurer to levy on execution.

SECTION 8. LOCAL FRANCHISE TAX ON TELECOMMUNICATIONS -

Telecommunications utilities operating within Davao City shall be subject to a local franchise tax of one-half of one percent (0.5%) on their gross annual receipts pursuant to Section 137 of Republic Act No. 7160.

SECTION 9. TIME OF PAYMENT AND DISCOUNTS -

Local business taxes shall be payable for every calendar quarter, with a ten percent (10%) discount for full advance annual payments made before January 20.

SECTION 10. EXAMINATION OF BOOKS OF ACCOUNTS -

The City Treasurer or duly designated deputies may examine the accounting books and records of businesses operating within the city to verify tax payments.

SECTION 11. SURCHARGES AND INTEREST -

Failure to pay taxes on time shall incur a surcharge of twenty-five percent (25%) and interest of two percent (2%) per month.

SECTION 12. SEPARABILITY CLAUSE -

If any provision is declared void, remaining provisions shall stay effective.

SECTION 13. REPEALING CLAUSE -

Provisions of the 2005 Revenue Code inconsistent herewith are amended.

SECTION 14. EFFECTIVITY -

This Ordinance takes effect on January 1 of the following calendar year after publication.

ENACTED on Committee Review, by the Sangguniang Panlungsod of Davao City.

CERTIFIED CORRECT:

ATTESTED:

CHARITO N. SANTOS
Secretary to the Sangguniang Panlungsod
(City Government Department Head II)

J. MELCHOR B. QUITAIN JR.
Vice Mayor
Presiding Officer

APPROVED: _____, 2026

ATTESTED:

SEBASTIAN Z. DUTERTE
City Mayor

ATTY. FRANCIS MARK H. LAYOG
Acting City Administrator